

Stock Analysis Report: BBKA

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Overall Verdict: YES

BBKA demonstrates exceptional fundamental quality with high return on equity, robust profitability margins, and strong cash flow generation, making it a solid investment despite recent price weakness.

Valuation

Summary: Fairly valued to slightly undervalued

Reason: The stock trades at a PE ratio of 12.42 which is premium compared to the IHSG median of 8.97, but this is justified by its superior ROE of 22.41% and consistent profitability, while the current price near 52-week lows suggests a potential undervaluation relative to its intrinsic quality and dividend yield.

Per Share

Summary: Good

Reason: Earnings per share remain stable at 471.10 with a strong book value per share of 2,102.07, indicating that each share holds substantial underlying equity value and earning power for investors.

Solvency

Summary: Good

Reason: While the total liabilities to equity ratio is 5.33, this is standard for the banking sector due to the nature of leveraging deposits, and the strong equity base of 259,359 B provides a sufficient buffer for financial stability.

Management Effectiveness

Summary: Excellent

Reason: Management delivers outstanding effectiveness with a Return on Equity of 22.41% and Return on Invested Capital of 21.46%, significantly outperforming typical cost of capital and demonstrating efficient allocation of shareholder funds.

Profitability

Summary: Excellent

Reason: The company maintains exceptional profitability with a net profit margin of 49.52% and gross profit margin of 88.25%, showcasing strong pricing power and efficient cost management within its operations.

Growth

Summary: Moderate

Reason: Growth metrics are modest with revenue and net income growing at only 2.16% and 3.80% year-over-year respectively, indicating a mature business phase rather than a high-growth expansion period.

Dividend

Summary: Good

Reason: The dividend yield is highly attractive at 5.74% with a payout ratio of 70.52%, providing significant income returns to shareholders while maintaining enough retained earnings for capital adequacy.

Income Statement

Summary: Good

Reason: The income statement reflects a healthy top line of 119,201 B revenue and strong bottom line net income of 58,075 B, confirming the business model continues to generate substantial profits despite slower growth.

Balance Sheet

Summary: Good

Reason: Total assets stand strong at 1,640,831 B against total equity of 259,359 B, indicating a large and stable balance sheet capable of supporting lending activities and absorbing potential shocks.

Cash Flow

Summary: Excellent

Reason: Operating cash flow is robust at 90,246 B with free cash flow of 88,404 B, demonstrating the company's ability to convert earnings into actual cash available for dividends, reinvestment, or debt reduction.

Performance

Summary: Bad

Reason: Recent price performance is negative with a 1-year return of -33.71% and year-to-date return of -27.55%, indicating strong selling pressure and bearish sentiment in the short term despite strong fundamentals.

Price Action

Metric	Value
Current Price	5850.0
Fair Value	6500.0
Support 1	5800.0
Support 2	5950.0
Resistance 1	6050.0
Resistance 2	6450.0

Overall Summary

BBCA is a fundamentally excellent stock with top-tier profitability and management effectiveness that is currently undergoing a significant price correction, presenting a compelling buying opportunity for value and dividend investors willing to tolerate short-term volatility.